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In the Supreme Court of the State of California

DANA HOHENSHELT,

Petitioner,

v.

SUPERIOR COURT OF LOS ANGELES COUNTY,

Respondent,

GOLDEN STATE FOODS CORP.,

Real Party in Interest.

Second Appellate District, Division Eight, Case No. B327524
Los Angeles County Superior Court, Case No. 20PSCV00827
The Honorable Gloria White-Brown, Judge

AMICUS CURIAE BRIEF OF THE ATTORNEY GENERAL IN SUPPORT OF PETITIONER DANA HOHENSHELT

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INTRODUCTION AND STATEMENT OF INTEREST

In 2019, the California Legislature confronted a troubling trend: Companies that had agreed to arbitrate disputes with consumers and employees were failing to pay the fees required to initiate or continue arbitration proceedings. As a result, many consumers and employees were stuck in procedural limbo: They could not move forward with arbitration because of the nonpayment of fees. And under the terms of their arbitration agreements, they could not bring disputes in court.

The Legislature responded by enacting SB 707, which amends the California Arbitration Act (CAA) to add provisions requiring the timely payment of fees. Under those provisions, contracting parties can set any mutually agreeable payment deadline. But if the party responsible for paying the fees fails to do so within 30 days of that deadline, the provision at issue here—section 1281.98 of the Code of Civil Procedure—gives the opposing party the option to withdraw from arbitration and proceed in court.[1] The Legislature concluded that section 1281.98 would provide needed clarity and deter the widespread delay and abuse that motivated the provision's enactment.

The Attorney General submits this brief in defense of section 1281.98's validity under the Federal Arbitration Act (FAA). The Attorney General has a profound interest in protecting the ability of employees and consumers to pursue their rights. Prior to section 1281.98's enactment, Attorney General Xavier Becerra

[1] Unless otherwise noted, all further statutory citations are to the Code of Civil Procedure.

joined with 11 other attorneys general to express serious concern about the practice discussed above. (*Post*, p. 17.) And before he became Attorney General, Rob Bonta served as one of SB 707's principal authors. As he explained on the Assembly Floor, the "nonpayment of arbitration fees has the effect of barring workers and consumers from both court and arbitration, leaving them without any way to seek redress for wrongful termination, wage theft, or fraud."[2] Attorney General Bonta continues to believe that SB 707 serves the important purpose of providing a process and remedy for individuals placed in that difficult situation.

In arguing that section 1281.98 is preempted by the FAA, Golden State Foods' central claim is that the statute discriminates against arbitration. Golden State emphasizes that the statute applies to arbitration agreements but not other types of contracts. But the reason that the statute is arbitration-specific is that it addresses an arbitration-specific problem: widespread delay in the payment of arbitration fees that prevented employees and consumers from enforcing their rights. In the absence of evidence that the Legislature failed to address comparable problems in other contexts, there is no basis to view section 1281.98 as discriminatory. For that reason, and because the statute promotes the FAA's purposes by encouraging parties to honor their arbitration agreements in a prompt, efficient

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[2] Remarks of Assem. Rob Bonta, Assem. Floor Session (Sept. 11, 2019) at 04:58:28-04:58:42 <https://www.assembly.ca.gov/media-archive> (as of Feb. 10, 2025).

manner, the Court should reject Golden State's preemption challenge and affirm the judgment below.

LEGAL BACKGROUND

A. The Federal and California Arbitration Acts

Congress enacted the FAA in 1925 to "ensure the enforceability . . . of private agreements to arbitrate" and "'encourage the expeditious resolution of disputes.'" (*Volt Information Sciences, Inc. v. Bd. of Trustees of Leland Stanford Jr. Univ.* (1989) 489 U.S. 468, 477-478.) The FAA's main substantive provision, section 2, provides that agreements to arbitrate "shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." (9 U.S.C. § 2.) The first clause of section 2 is "[a]n enforcement mandate, which renders agreements to arbitrate enforceable as a matter of federal law"; the second is "a saving clause, which permits invalidation of arbitration clauses on grounds applicable to 'any contract.'" (*Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 650.) Section 2 thus establishes an "equal-treatment principle": "[a] court may invalidate an arbitration agreement based on 'generally applicable contract defenses' like fraud or unconscionability, but not on legal rules" that discriminate against arbitration. (*Kindred Nursing Centers Ltd. v. Clark* (2017) 581 U.S. 246, 251.)

The FAA also sets forth "procedural rules that govern how arbitrations and judicial proceedings related to arbitrations are to be conducted in federal court." (*Gallo v. Wood Ranch USA, Inc.* (2022) 81 Cal.App.5th 621, 636; see also *Smith v. Spizzirri* (2024) 601 U.S. 472, 473; 9 U.S.C. §§ 3-13, 16.) For example,

section 3 of the FAA empowers federal courts to stay judicial proceedings pending the resolution of arbitration proceedings in certain circumstances. Section 4 provides a cause of action to compel arbitration pursuant to a valid agreement to arbitrate. And sections 9-10 authorize federal courts to vacate or confirm arbitration awards in specified circumstances.

Because the jurisdiction of federal courts to entertain arbitration-related actions is strictly limited (see, e.g., *Badgerow v. Walters* (2022) 596 U.S. 1, 4-5), many such actions arise in state court. In those proceedings, the FAA's substantive provisions apply. (See, e.g., *Southland Corp. v. Keating* (1984) 465 U.S. 1, 12-13.) But its procedural provisions do not. (See, e.g., *Cronus Investments v. Concierge Services* (2005) 35 Cal.4th 376, 388-389.)[3] Procedural questions that arise in arbitration-related proceedings in California state court are generally governed by the CAA. (See *ibid.*)

Enacted two years after the FAA, the CAA is "a comprehensive statutory scheme regulating private arbitration." (*Haworth v. Super. Ct.* (2010) 50 Cal.4th 372, 380.) Like the FAA, the CAA contains both substantive and procedural provisions, including a substantive provision much like the FAA's section 2. (See § 1281.) Many of the CAA's procedural provisions likewise resemble their federal counterparts. (See, e.g., § 1281.2

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[3] Two justices have dissented from the federal high court's determination that the FAA's principal substantive provision—section 2—applies in state court. (See *Kindred Nursing*, *supra*, 581 U.S. at p. 257 (dis. opn. of Thomas, J.); *Allied-Bruce Terminix Co. v. Dobson* (1995) 513 U.S. 265, 284 (dis. opn. of Scalia, J.).)

[petition procedure for compelling arbitration]; § 1281.4 [stays of judicial actions pending arbitration]; § 1286 et seq. [vacatur and correction of awards].) But there are some notable differences. For example, the CAA authorizes courts to stay arbitrations pending the outcome of related judicial proceedings. (§ 1281.2, subd. (d).) The FAA contains no comparable provision. (See *Volt*, *supra*, 489 U.S. at p. 470.) The two statutes also authorize different forms of prehearing discovery. (See, e.g., Dubow, Cal. Lawyers Assn., *The CAA v. The FAA* (2021) 34 Cal. Litigation 37, 38 <https://tinyurl.com/5d8d7ybr> [as of Feb. 10, 2025].)

Although the FAA's procedural provisions apply by default in federal court and the CAA's procedural provisions apply by default in state court (see, e.g., *Mave Enterprises, Inc. v. Travelers Indemnity Co.* (2013) 219 Cal.App.4th 1408, 1429), "parties to an arbitration contract [have] considerable latitude to choose what law governs." (*DIRECTV, Inc. v. Imburgia* (2015) 577 U.S. 47, 53-54; see also *Lamps Plus, Inc. v. Varela* (2019) 587 U.S. 176, 184.) "In principle," for example, parties "might choose to have portions of their contract governed by the law of Tibet, the law of pre-revolutionary Russia, or . . . the law of California"—even with respect to proceedings that arise in federal court. (*DIRECTV*, at p. 54; see also *Quach v. Cal. Commerce Club, Inc.* (2024) 16 Cal.5th 562, 576 ["[A]rbitration-related proceedings in California courts are governed by the CAA's procedural rules unless their application is preempted or

the parties have expressly agreed that the FAA's procedural rules apply."]; *Cronus*, *supra*, 35 Cal.4th at p. 394 [similar].)[4]

B. Senate Bill 707

In 2019, the California Legislature confronted "a concerning and troubling trend": companies that had contracted with consumers or employees to resolve disputes in arbitration were refusing "to pay fees and costs required to initiate [or continue] arbitration, effectively placing . . . [consumers or] employees in a procedural limbo." (Sen. Com. on Judiciary, Analysis of Sen. Bill No. 707 (2019-2020 Reg. Sess.) Apr. 11, 2019, pp. 1, 6.) For example, after Uber secured an appellate decision holding that its drivers were required to arbitrate their wage claims individually, 12,500 drivers filed individual arbitration demands. (*Id.* at pp. 6-7, citing *O'Connor v. Uber Technologies, Inc.* (9th Cir. 2018) 904 F.3d 1087.) Although Uber had "assured the [Ninth] Circuit that it would pay the necessary fees to allow drivers to arbitrate their claims," it paid the initial filing fees in just 296 cases and the "[arbitrator] retainer fee[s] in a mere six cases." (*Id.* at p. 7.) As a result, thousands of drivers were unable to proceed in an arbitral forum or in court, "effectively stymieing [their] ability . . . to assert their legal rights." (*Id.* at p. 6.)

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[4] There are certain state law rules that cannot be contractually waived or avoided. (See *post*, pp. 24-26.) Those rules generally apply in arbitration-related proceedings that arise in either state or federal court. (See, e.g., *Lim v. TForce Logistics, LLC* (9th Cir. 2021) 8 F.4th 992, 1003 [applying longstanding California rule governing which parties to arbitration proceedings must pay the fees of arbitrating].)

"Unfortunately, this situation [was] not an isolated one." (Sen. Com. on Judiciary, Analysis, *supra*, p. 7.) Lyft, Chipotle, and other companies have reportedly engaged in similar conduct. (See *id.* at pp. 7-8.)[5] And leaders in multiple States have drawn attention to the problem. In 2019, for example, a coalition of twelve attorneys general explained that they had "learned that workers in our States and the District of Columbia . . . have encountered . . . obstacles while attempting to arbitrate employment-related claims," including the failure to pay filing fees. (Letter of Attorneys General to AAA (Nov. 12, 2019) <https://tinyurl.com/3pppx25y> [as of Feb. 10, 2025].) "[W]here an employee makes an arbitration demand . . . but the employer does not [pay the filing fee]," the letter explained, "the arbitration process is not commenced." (*Ibid.*) The attorneys general expressed "concern[] that an employee who is bound to arbitrate employment-related claims with their employer may be unable to resolve their claims" because "there is apparently no clear recourse for the employee to proceed in the arbitration process or otherwise compel their employer to participate in the proceeding, other than a costly legal action." (*Ibid.*) One scholar has referred

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[5] See also, e.g., Pfeffer-Gillett, *Unfair by Default: Arbitration's Reverse Default Judgment Problem* (2023) 171 U. Pa. L.Rev. 459, 462-463, 491-500; Wilson, *Mass Arbitration* (2022) 69 UCLA L.Rev. 372, 388-404; Resnik et al., *Collective Preclusion & Inaccessible Arbitration* (2020) 24 Lewis & Clark L.Rev. 611, 629 & fns. 79-80; Frankel, *Chegg Tries a New Way to Avert Mass Arbitration: Cancel Users' Contracts*, Reuters (July 2, 2020) <https://tinyurl.com/59h9fn6d> (as of Feb. 10, 2025).

to this problem as arbitration's "reverse default judgment" problem. (Pfeffer-Gillett, *supra*, 171 U. Pa. L.Rev. at p. 466.)

California's Legislature similarly concluded that delayed payment of arbitration fees was "hinder[ing] the efficient resolution of disputes" and "severely prejudic[ing] the ability of employees or consumers to vindicate their rights." (Stats. 2019, ch. 870, § 1, subds. (c)-(d).) As a legislative bill analysis explained, "[p]articularly in employment matters, the plaintiff's livelihood may be the subject of the adjudication," and the employee "may not be able to pay bills, rent or other expenses that could result in the loss of their residence, or damage to their credit rating, while the dispute remains unresolved." (Assem. Com. on Judiciary, Analysis of Sen. Bill No. 707 (2019-2020 Reg. Sess.) as amended May 20, 2019, p. 8; see *id.* at p. 9 [delayed payment of arbitration fees threatened "extreme hardship"].)

In the Legislature's view, existing law in California was inadequate to respond to this problem. (See, e.g., Assem. Com. on Judiciary, Analysis, *supra*, pp. 6-7.) Although a small number of employees had managed to extricate themselves from the "procedural limbo" caused by delayed payment of arbitration fees, those employees were only able to do so by engaging in protracted legal proceedings where the applicable law "remain[ed] unclear." (*Id.* at pp. 1, 11; see, e.g., *Brown v. Dillard's, Inc.* (9th Cir. 2005) 430 F.3d 1004; *Sink v. Aden Enterprises, Inc.* (9th Cir. 2003) 352 F.3d 1197, 1199-1202.) As Judge William Fletcher explained in one such case, "[m]any people in [the] position" of having their arbitral proceedings indefinitely delayed "would simply . . . give[]

up," rather than attempt to contest the delay tactics of an employer or other business. (*Brown*, at p. 1013.)

"[B]uild[ing] on [this] existing body of case law" (Assem. Com. on Judiciary, Analysis, *supra*, p. 5), the Legislature enacted SB 707 to provide "a clear process and remedies for consumers and employees in the event that [a] company fails to pay its required arbitration fees" (Sen. Com. on Judiciary, Analysis, *supra*, p. 9). As relevant here, the Legislature added two provisions to the CAA: section 1281.97, which governs payment of fees to *initiate* an "employment or consumer arbitration," and section 1281.98, which governs payment of fees necessary to *continue* an "employment or consumer arbitration" once initiated. Under both provisions, payment is due upon receipt of an invoice from the arbitration provider, unless the parties agree to a different deadline. (§§ 1281.97, subd. (a)(2), 1281.98, subd. (a)(2).)[6] After the deadline passes, the party responsible for paying the fees has a 30-day grace period to complete the necessary payments. (See §§ 1281.97, subd. (a)(1), 1281.98,

[6] As originally enacted, sections 1281.97 and 1281.98 provided that fees were to be paid "within 30 days after the due date." (Stats. 2019, ch. 870, §§ 4, 5.) Because those provisions did not specify "when an arbitrator must send invoices or whether and how the payment's due date must be disclosed," it was not always clear when a payment was 30 days late. (Sen. Rules Com., Off. of Sen. Floor Analyses, Analysis of Sen. Bill No. 762 (2021-2022 Reg. Sess.) as amended June 14, 2021, p. 2.) In response, the Legislature amended the statute to provide that payment is "due upon receipt" unless the parties agree otherwise. (*Ibid.*; see Stats. 2021, ch. 222, §§ 2, 3.)

subd. (a)(1).)[7] If the responsible party fails to make timely payments, that party "is in material breach of the arbitration agreement, is in default of the arbitration, and waives its right to compel" arbitration. (§§ 1281.97, subd. (a)(1), 1281.98, subd. (a)(1).)

At that point, sections 1281.97 and 1281.98 give the nonbreaching party a choice: either remain in arbitration and resolve the claim there, or instead withdraw the claim from arbitration and proceed in court. (§§ 1281.97, subd. (b), 1281.98, subd. (b).) If the nonbreaching party elects to continue with the arbitration proceeding and the party responsible for the payment still does not pay the required fees, the statute provides several ways to keep the arbitration moving forward: (1) "[c]ontinue the arbitration proceeding, if the arbitration provider agrees" to do so, and "institute a collection action at the conclusion of the arbitration proceeding against the [breaching] party"; (2) petition for a court order compelling the payment of all required fees; or (3) have the nonbreaching party pay the fees and then recover them "[a]s part of the award" at the conclusion of arbitral

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[7] Under California law, employers are generally responsible for paying fees in employment-related arbitrations. (See *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 113.) In consumer arbitrations, both parties can be responsible for fees, except in certain cases, such as where the consumer is indigent. (See, e.g., *Sanchez v. Valencia Holding Co.* (2015) 61 Cal.4th 899, 918-919.)

proceedings, irrespective of any merits findings in the underlying arbitration. (§ 1281.98, subd. (b)(2)-(4).)[8]

A third provision added to the CAA by SB 707—section 1281.99—provides that violations of sections 1281.97 and 1281.98 entitle the nonbreaching party to "reasonable expenses, including attorney's fees and costs, incurred . . . as a result of the material breach." (§ 1281.99, subd. (a); see also §§ 1281.97, subd. (d), 1281.98, subd. (c)(2).) A court may also impose additional sanctions where it deems "appropriate" (§ 1281.98, subd. (d)), but not if the court determines that the breaching party "acted with substantial justification" or if sanctions would be "unjust." (§ 1281.99, subd. (b); see also *id.*, subd. (b)(1)-(3).)

STATEMENT OF THE CASE

Dana Hohenshelt filed a complaint against his former employer Golden State Foods in November 2020, alleging violations of the California Fair Employment and Housing Act and the Labor Code. (Opn. 2.) Golden State moved to compel arbitration according to the parties' arbitration agreement. (*Ibid.*) That agreement, which the parties signed in 2018, provides that all employment-related claims "shall be submitted to final and binding arbitration," and "that such arbitration shall be governed by the Federal Arbitration Act, except that the

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[8] When a party fails to make timely payments for proceeding with arbitration, sections 1281.97 and 1281.98 render the party's arbitration agreement unenforceable only as to "*that* arbitration." (E.g., § 1281.98, subd. (a)(1), italics added.) The arbitration agreement remains valid and enforceable as to all other disputes between the parties. (See *ibid.*)

sufficiency of discovery to adequately arbitrate shall be in accordance with applicable state law if otherwise required." (Pet. App. 35.)[9] The agreement also directs that arbitration shall proceed "in accordance with the rules of" the professional arbitration provider "mutually selected by" the parties. (*Ibid.*)

The trial court granted the motion to compel arbitration and stayed court proceedings pending proceedings before the arbitrator. (Opn. 2.) Arbitration began in August 2021 via Judicial Arbitration and Mediation Services (JAMS). (*Ibid.*) The arbitrator's fee schedule provided that "[a]ll fees are due and payable in advance of services rendered." (*Ibid.*) JAMS sent invoices "due upon receipt" to Golden State in July and August 2022. (*Ibid.*) Golden State failed to pay within 30 days. (*Ibid.*) In light of Golden State's failure to make timely payments, Hohenshelt moved to withdraw his claims from arbitration and proceed in court under section 1281.98, subdivision (b)(1). (*Id.* at pp. 2-3; Pet. App. 4-13.) Golden State argued in response that its actions did not constitute material breach under the text or purpose of section 1281.98. (Pet. App. 138-145, 312; Opn. 7.) The superior court agreed with Golden State and denied Hohenshelt's motion. (Opn. 3.) Because the court denied the motion, it had no occasion to address the propriety of any costs or sanctions under section 1281.99.

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[9] All citations in this brief to the "Petition Appendix" (Pet. App.) refer to the Exhibits Supporting Petition for Writ of Mandate or Other Appropriate Relief that Golden State filed in the Court of Appeal on April 3, 2023.

The Court of Appeal reversed. (Opn. 9.) After holding that Golden State had materially breached the arbitration agreement under section 1281.98, the court turned to the argument that section 1281.98 is preempted by the FAA. (*Id.* at pp. 5-7.) Concluding that section 1281.98 is not preempted, the court joined several other Courts of Appeal in holding that the statute "'*further[s]*—rather than *frustrate[s]*—the objectives of the FAA to honor the parties' intent to arbitrate and to preserve arbitration as a speedy and effective alternative forum for resolving disputes.'" (*Id.* at p. 7, quoting *Gallo*, *supra*, 81 Cal.App.5th at p. 630; see also opn. 7, citing *Suarez v. Super. Ct.* (2024) 99 Cal.App.5th 32, 41-42; *Espinoza v. Super. Ct.* (2022) 83 Cal.App.5th 761, 783-784; *De Leon v. Juanita's Foods* (2022) 85 Cal.App.5th 740, 753-754.)

Justice Wiley dissented. In his view, section 1281.98 "singles out arbitration agreements for disfavored treatment" in contravention of the FAA's equal-treatment principle. (Dis. opn. 3, internal quotation marks omitted.)

ARGUMENT

I. THE COURT SHOULD NOT ADDRESS QUESTIONS ABOUT THE SCOPE OF THE CONTRACTING PARTIES' AGREEMENT IN THE FIRST INSTANCE

The Court granted review to decide whether the FAA preempts aspects of SB 707. (See Pet. 11.) In its opening brief, however, Golden State challenges the application of section 1281.98 on both preemption and contract-interpretation grounds. In Golden State's view, section 1281.98 "do[es] not apply" to the parties' arbitration agreement "because the parties

unambiguously agreed to be bound by the FAA and JAMS' rules," rather than the CAA's procedural provisions. (OBM 51.) Hohenshelt contests that reading of the agreement. (ABM 35-36.) For several reasons, the Court should not reach this dispute between the parties at the present time.

First, it falls beyond the issue presented. In its petition, Golden State asked the Court to "grant review to resolve . . . whether sections 1281.97 *et seq*. are preempted." (Pet. 13; see also Pet. 11; Reply to Answer 5.) The petition adverted only in passing to the question whether the parties agreed to substitute the FAA's procedural provisions for the CAA's. (See, e.g., Pet. 13 [noting in the Factual Background section that "[t]he Arbitration Agreement is explicitly governed by the FAA and incorporated JAMS' procedural rules"].) This Court generally refrains from reaching issues that are not encompassed within the issue presented. (See, e.g., Cal. Rules of Court, rule 8.516.)

Second, the courts below did not address the issue because Golden State did not raise it in a timely manner. In the trial court and in response to Hohenshelt's petition for writ of mandate in the Court of Appeal, Golden State argued that it complied with section 1281.98. (*Ante*, p. 22.) But it did not argue that the parties contractually opted out of that provision. The first time that Golden State raised that argument was in its supplemental brief in the Court of Appeal. (C.A. Supp. Br. 13-15.) Neither the superior court nor the Court of Appeal engaged with that issue—or even acknowledged the parties' disagreement. And this Court generally avoids addressing questions in the first

instance, especially where those questions fall beyond the issue presented. (See, e.g., *Dynamex Operations W. v. Super. Ct.* (2018) 4 Cal.5th 903, 916, fn. 5.) Like the U.S. Supreme Court, this Court is generally one of "review, not of first view." (*Cutter v. Wilkinson* (2009) 544 U.S. 709, 718, fn. 7.)

Third, the parties' briefing overlooks a threshold question that the Court would need to confront before addressing whether the parties displaced section 1281.98 with alternative procedural rules. In offering competing interpretations of their agreement (compare OBM 51-55 with ABM 35-36), the parties assume that it is possible to contractually opt out of section 1281.98. But that is not necessarily the case. (Cf. *Espinoza*, *supra*, 83 Cal.App.5th at p. 787 ["[a]ssuming arguendo parties contractually may waive the provisions of [SB 707]"].)

Although contracting parties may generally opt out of the CAA's procedural provisions by "expressly designat[ing]" an alternative procedural framework (*Cronus*, *supra*, 35 Cal.4th at p. 394, italics omitted; see *ante*, pp. 15-16), there are indications in SB 707's text and legislative history that the Legislature would not have wanted parties to be able to draft around provisions added to the CAA by SB 707. The Legislature plainly wished to put a stop to a practice that it considered deeply troubling: indefinite delays in the payment of arbitration fees, which threatened to deny the ability of employees and consumers to enforce their rights. (See, e.g., Stats. 2019, ch. 870, § 1; Assem. Com. on Judiciary, Analysis, *supra*, pp. 1-2, 5-9; *ante,* pp. 16-19.) Rules designed to prevent a party from "undercut[ting]

unwaivable state statutory rights" typically cannot be contractually waived. (Stats. 2019, ch. 870, § 1, subd. (a); see, e.g., *Abramson v. Juniper Networks, Inc.* (2004) 115 Cal.App.4th 638, 661.) If drafting parties could avoid SB 707's protections through the simple expedient of adding new clauses to their contracts going forward, the statute's practical, real-world effect could be seriously compromised. (Cf. *King v. Burwell* (2015) 576 U.S. 473, 498 ["in every case we must respect the role of the Legislature, and take care not to undo what it has done"].)

To be sure, there are reasons why the Court may wish to address whether Golden State and Hohenshelt contractually opted out of SB 707. Or the Court may wish to transfer the cause back to the Court of Appeal to address that issue in the first instance. (See Cal. Rules of Court, rule 8.528(b), (d).) Taking one of those two steps could theoretically make it unnecessary to reach Golden State's preemption challenge. (Cf. *People v. Leon* (2007) 40 Cal.4th 376, 396 [discussing general preference to avoid reaching constitutional questions if fairly possible].) But by avoiding the preemption question, the Court would run the risk of continued confusion and disagreement on the subject. (See, e.g., *Hernandez v. Sohnen Enterprises, Inc.* (2024) 102 Cal.App.5th 222, 243-244 [noting disagreement as to preemption in this context].) For that reason, the Attorney General respectfully suggests that the Court proceed to address the issue presented. It can do so on the assumption that SB 707 applies to the parties' agreement. (Cf., e.g., *People v. Martinez* (2023) 15

Cal.5th 326, 340, 347 [assuming without deciding multiple threshold issues before reaching constitutional question].)

II. THE FAA DOES NOT PREEMPT SECTION 1281.98

Under the supremacy clause (see U.S. Const., art. VI, cl. 2), federal statutes can expressly or impliedly preempt state laws. (See *County of Butte v. Dept. of Water Resources* (2022) 13 Cal.5th 612, 628.) Although "[t]he FAA contains no express pre-emptive provision" (*Volt*, *supra*, 489 U.S. at p. 477), the equal-treatment principle of FAA section 2 operates much like an express preemption clause in practice. (See *Chamber of Commerce of U.S. v. Bonta* (9th Cir. 2023) 62 F.4th 473, 482-483, 486, fn. 4.) The FAA also impliedly preempts state laws that "'stand[] as an obstacle to the accomplishment and execution of the full purposes and objectives of Congress.'" (*Volt*, at p. 477.) "[T]he threshold for establishing such an obstacle is demanding." (*County of Butte*, at pp. 628-629, internal quotation marks omitted.)[10]

A. Golden State has not shown a violation of the FAA's equal-treatment principle

Golden State's central claim is that section 1281.98 violates the FAA's equal-treatment principle. (See, e.g., OBM 37-42; RBM 9-17.) That is incorrect. As discussed above (*ante*, p. 13),

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[10] Although Golden State challenges sections 1281.97, 1281.98, and 1281.99 (see, e.g., OBM 12, 34), this case implicates section 1281.98 alone (*ante*, pp. 21-22). The Court should thus focus on that provision. (Cf. *Colten v. Kentucky* (1972) 407 U.S. 104, 111, fn. 3.) Because sections 1281.97 and 1281.98 are "largely parallel," however, the Court may wish to note that they "'require no different analysis.'" (Opn. 6, fn. 2.) Any evaluation of section 1281.99 would be premature because the superior court has not yet applied that provision. (*Ante*, p. 22.)

state law violates the equal-treatment principle only where it "discriminat[es] . . . against" or "disfavor[s]" arbitration. (*Kindred Nursing*, *supra*, 581 U.S. at p. 251.) Discrimination does not exist merely because the challenged law "specifically concern[s] arbitration agreements." (*Little v. Auto Stiegler, Inc.* (2003) 29 Cal.4th 1064, 1079.) So long as the relevant state law is based on "general state law contract principles," not a "mistrust of arbitration" (*ibid.*), and the state law does not treat comparable types of contracts differently (see *id.* at p. 1080), it does not run afoul of the equal-treatment principle. In other words, a State may devise arbitration-specific policies to address arbitration-specific problems. (See *id.* at p. 1079 ["applications of general state law contract principles . . . to the unique context of arbitration . . . are not preempted"].)

In *Little*, *supra*, 29 Cal.4th at pages 1079-1080, the Court addressed a preemption challenge to the rule devised in *Armendariz*, *supra*, 24 Cal.4th at page 113. As relevant here, *Armendariz* conditioned the enforceability of agreements to arbitrate certain types of employment claims on the employer's willingness to pay the costs of arbitrating. (See *Sanchez*, *supra*, 61 Cal.4th at p. 919 [describing the "categorical rule" recognized in *Armendariz*].) Although that rule was arbitration-specific, it was not motivated by "a generalized mistrust of arbitration." (*Little*, at p. 1079.) Instead, the basis for the rule was the general contract-law principle forbidding the waiver of important statutory rights. (See *id.* at pp. 1079-1080.) As the Court explained, arbitration "may potentially require litigants to

expend large sums to pay for the costs of the hearing that will decide [their] statutory" rights—costs that threatened to prevent employees from enforcing those rights. (*Id.* at p. 1080.)[11] And because arbitration agreements, "*alone among contract provisions*," threatened to have that effect, the arbitration-specific rule devised by the Court did not discriminate in favor of other types of contracts. (*Ibid.*, italics added.)

Section 1281.98 is valid for similar reasons. It is based on the same "general state law contract principle[]" discussed in *Little*, *supra*, 29 Cal.4th at page 1079: "a mandatory arbitration agreement, like any other agreement, cannot undercut unwaivable state statutory rights." (Stats. 2019, ch. 870, § 1, subd. (a).) Claims brought by employees and consumers frequently implicate those rights, such as under the Unfair Competition Law (see, e.g., *McGill v. Citibank, N.A.* (2017) 2 Cal.5th 945, 961-962) or, as here, the Fair Employment and Housing Act. The failure to pay arbitration fees was often leaving employees and consumers "caught in limbo" and unable to enforce their rights. (Assem. Com. on Judiciary, Analysis, *supra*, p. 7.) Their only recourse was to challenge the delay on grounds of contractual breach, waiver, or default. (See, e.g., *Brown*, *supra*, 430 F.3d at p. 1013.) But litigation of that nature could be costly and time-consuming. (See *ibid.*) And the law

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[11] See, e.g., *Armendariz*, *supra*, 24 Cal.4th at p. 108 ("[I]f an employee . . . is required to pay arbitrators' fees ranging from $500 to $1,000 per day or more, . . . is it likely that he will be able to pursue his statutory claims? We think not," internal quotation marks omitted); *id.* at p. 111 (similar).

governing such actions "remain[ed] unclear." (Assem. Com. on Judiciary, Analysis, p. 1.)[12] Section 1281.98 provides clarity and predictability—and deters companies from stalling arbitration proceedings—by establishing that delays of 30 days or more constitute material breach, default, and waiver.

Like the rule addressed in *Little*, moreover, section 1281.98 does not reflect a "mistrust of arbitration." (29 Cal.4th at p. 1079.) To the contrary, the purpose of the provision is "to move the parties to an arbitrable dispute . . . *into arbitration* as quickly and easily as possible." (Sen. Com. on Judiciary, Analysis, *supra*, pp. 8-9, internal quotation marks omitted, italics added.) By imposing a bright-line, 30-day deadline—and establishing certain consequences for failing to abide by that deadline—section 1281.98 "deter[s] companies and employers from strategically withholding the payment of arbitration fees" and encourages those companies to proceed with arbitration in a prompt manner. (*Id.* at p. 8; see Stats. 2019, ch. 870, § 1, subd. (c) ["failure to pay [arbitration] fees . . . hinders the efficient resolution of disputes"]; see also *post*, p. 36.)

Golden State argues that section 1281.98 departs from ordinary principles of material breach. (OBM 38-39.) According to Golden State, ascertaining material breach involves "questions of fact" that "must be resolved on a case-by-case basis." (*Id.* at p. 39.) That is certainly true much of the time. (See, e.g., *Brown*

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[12] See also *Brown*, *supra*, 430 F.3d at p. 1013 ("When a defendant in a judicial forum refuses to respond to a complaint that is properly filed and served, the court has the power to enter and enforce a default judgment. Arbitration works differently").

v. Grimes (2011) 192 Cal.App.4th 265, 277-278.) But in some instances, the Legislature has replaced fact-intensive, case-by-case standards with categorical, bright-line rules.[13] That practice makes good sense: as scholars and jurists have long recognized, categorical rules often provide distinct advantages over case-by-case standards. (See, e.g., Ehrlich & Posner, *An Economic Analysis of Legal Rulemaking* (1974) 3 J. Legal Stud. 257, 262-267; *Armendariz*, *supra*, 24 Cal.4th at p. 111 [explaining that a categorical rule provided "clearly articulated guidelines" and avoided the need for "mini-trial[s]"].)

Golden State nonetheless argues that section 1281.98 is discriminatory because, in its view, California treats delayed contractual performance differently in contexts other than arbitration. (OBM 38-42.) Golden State invokes several decisions applying a fact-intensive, totality-of-the-circumstances standard to determine whether a party materially breached its contractual agreement. (See OBM 39 & fn. 9, citing *MacFadden v. Walker* (1971) 5 Cal.3d 809, 811, and *Magic Carpet Ride LLC v. Rugger Investment Group* (2019) 41 Cal.App.5th 357, 360.)

But those cases involved isolated instances of delay, not evidence of widespread delay and abuse comparable to that

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[13] See, e.g., Gov. Code § 51250, subd. (b) (adopting categorical rule establishing that certain conduct "constitute[s] material breach[]"); Gov. Code § 19134, subd. (e) (same); Health & Saf. Code § 123853, subd. (c) (providing that certain types of contracts "shall be deemed to be in default" when parties fail to act within a specified deadline).

considered by the Legislature when enacting SB 707.[14] The legislative judgment behind SB 707 was not that *any* instances of delay would justify a categorical rule of material breach, waiver, and default. The justification was that there was *widespread* delay and abuse—delay and abuse that had a well-documented effect on the ability of employees and consumers to enforce their statutory rights. (*Ante*, pp. 16-19; see *Espinoza*, *supra*, 83 Cal.App.5th at pp. 777-778; Pfeffer-Gillett, *supra*, 171 U. Pa. L.Rev. at pp. 481-510.) Golden State does not argue that any comparable forms of delay and abuse exist in other contexts. Absent evidence to that effect, there is no basis to view section 1281.98 as discriminatory. (See generally *Serve Yourself Gasoline Stations Assn. v. Brock* (1952) 39 Cal.2d 813, 818 ["The burden is upon those attacking the statute to make a showing that [it] is unconstitutional"].)

Golden State argues that "legislative history fails to substantiate the 'concerning and troubling trend' of companies stalling arbitrations." (RBM 26.) As Golden State acknowledges, however, the Legislature considered evidence that "*thousands* of similarly situated plaintiffs" faced stalled arbitration proceedings. (*Ibid.*, original italics.) And the practice was sufficiently widespread and concerning to catch the attention of scholars and a broad coalition of state attorneys general. (*Ante*, p. 17 & fn. 5.) In any event, it was not merely the widespread

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[14] See *Magic Carpet*, *supra*, 41 Cal.App.5th at p. 368 (delay in deposit of lien release into escrow related to purchase of aircraft); *MacFadden*, *supra*, 5 Cal.3d at p. 812 (cessation of installment payments on contract for sale of land).

nature of delay that motivated the Legislature. It was also that allowing such delay to go unregulated threatened to foster a "'perverse incentive scheme' whereby 'employers . . . have an *incentive* to refuse to arbitrate claims . . . in the hope that the frustrated employees would simply abandon them.'" (Assem. Com. on the Judiciary, Analysis, *supra*, p. 8, quoting *Brown*, *supra*, 430 F.3d at p. 1012, italics added; see also Pfeffer-Gillett, *supra*, 171 U. Pa. L.Rev. at pp. 481-490.) Golden State does not argue that any comparable incentives exist in other contexts.[15]

The U.S. Supreme Court's application of the equal-treatment principle illustrates what impermissible discrimination looks like. In *Kindred Nursing*, for example, the high court considered a Kentucky rule barring an individual with power of attorney from entering into arbitration agreements on their principal's behalf unless the power of attorney explicitly authorized them to do so. (581 U.S. at p. 250.) Kentucky's justification for the "clear-statement requirement" was that it would ensure that individuals would "waive . . . fundamental constitutional rights" only in a knowing, intelligent manner. (*Id.* at p. 253, internal quotation marks omitted.) But in practice, Kentucky's rule applied only to arbitration agreements and "a slim set of . . . utterly fanciful contracts," not to many other comparable types of

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[15] In *Espinoza*, *supra*, 83 Cal.App.5th at page 769, the Attorney General filed an amicus brief arguing that the court should avoid serious preemption questions under the FAA's equal-treatment principle by construing sections 1281.97-1281.98 to incorporate a case-by-case material breach standard. Following further research and evaluation, the Attorney General no longer subscribes to the analysis in that amicus brief.

contracts, such as those where legal representatives waive their principals' constitutional rights to property ownership or free expression. (*Ibid.*) The rule thus impermissibly "single[d] out arbitration." (*Id.* at p. 254, fn. 2; see also *DIRECTV, supra,* 577 U.S. at pp. 54-58.) Here, by contrast, Golden State does not argue that there are comparable situations outside the arbitration context in which performance delays are preventing employees and consumers from pursuing their statutory rights.

The high court's opinion in *Doctor's Associates, Inc. v. Casarotto* (1996) 517 U.S. 681, is likewise instructive. In that case, the court struck down a Montana statute requiring arbitration agreements to include certain language "typed in underlined capital letters on the first page of the contract." (517 U.S. at p. 683, internal quotation marks omitted.) Montana's justification for the law was that "[u]nexpected provisions in adhesion contracts must be conspicuous" (*id.* at p. 687, fn. 3), to ensure that parties "knowingly" agree to their terms (*id.* at p. 685, internal quotation marks omitted). But the challenged statute was not a generally applicable rule governing all such "unexpected provisions." (*Id.* at p. 687, fn. 3; cf. *AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 347, fn. 6.) Nor did Montana's high court suggest that it would impose the same notice requirements contained in the statute on comparable types of "unexpected provisions" outside the arbitration context. (*Doctor's Associates*, at p. 687, fn. 3.)

Although section 1281.98 is similar to the law before the court in *Doctor's Associates* in the limited sense that it is

"applicable *only* to arbitration provisions" (517 U.S. at p. 687; see OBM 36, 40), section 1281.98 does not discriminate against other types of contracts because it addresses an *arbitration-specific* problem. The statute "is designed to remedy a problem unique to the arbitration context that if left unaddressed would undercut 'arbitration's fundamental attributes of speed and efficiency.'" (*Keeton v. Tesla, Inc.* (2023) 103 Cal.App.5th 26, 40; see also *Brown, supra,* 430 F.3d at 1013.) Nothing in *Doctor's Associates*, other high court decisions, or the FAA's text and purposes suggests that States are barred from addressing such problems merely because the subject matter is arbitration.

B. Section 1281.98 furthers the FAA's aims by encouraging parties to honor their arbitration agreements in a prompt, efficient manner

Golden State is also wrong in asserting that section 1281.98 "'stands as an obstacle to the accomplishment and execution of the full purposes and objectives of Congress.'" (*Volt*, *supra*, 489 U.S. at p. 477; see, e.g., OBM 41-49.) A "high threshold must be met if a state law is to be preempted for conflicting with the purposes" of a federal statute. (*Chamber of Commerce of U.S. v. Whiting* (2011) 563 U.S. 582, 607 (plur. opn. of Roberts, C.J.), quoted in *County of Butte*, *supra*, 13 Cal.5th at p. 629.) Indeed, courts "'start with the assumption that the historic police powers of the States were not to be superseded . . . unless that was the clear and manifest purpose of Congress.'" (*Wyeth v. Levine* (2009)

555 U.S. 555, 565; see also *County of Butte*, at pp. 631-632 [describing "'strong presumption against preemption'"].)[16]

As relevant here, the FAA's "'two goals'" are "'enforcement of private agreements and encouragement of efficient and speedy dispute resolution.'" (*Concepcion*, *supra*, 563 U.S. at p. 345; see also *id.* at p. 344; *Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1168.) Section 1281.98 promotes both objectives. As the Court of Appeal explained in *Gallo*, *supra*, 81 Cal.App.5th at p. 643, the statute "is fully consistent with the parties' . . . intent to arbitrate because the parties' agreement was to arbitrate the dispute, not let it die on the vine and languish in limbo while the party who demanded arbitration thereafter stalls it by not paying the necessary costs in a timely fashion." Section 1281.98 also "facilitates an expeditious resolution of the dispute." (*Espinoza*, *supra*, 83 Cal.App.5th at p. 783.) It "prevent[s] parties from . . . sabotaging . . . arbitration by refusing to pay the fees necessary to move forward." (*Gallo*, at p. 643; see *id.* at p. 645 [section 1281.98 "is a friend of arbitration and not its foe"].)

Golden State emphasizes that section 1281.98 imposes "severe consequences" for a party's failure to timely pay required

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[16] The law is currently in flux on whether the presumption against preemption applies when construing *express* preemption clauses. (See, e.g., *California Restaurant Assn. v. City of Berkeley* (9th Cir. 2024) 89 F.4th 1094, 1108 (conc. opn. of O'Scannlain, J.), citing *Puerto Rico v. Franklin Cal. Tax-Free Trust* (2016) 579 U.S. 115, 125.) But the presumption certainly applies when courts consider *implied* preemption doctrines, such as obstacle preemption. (See, e.g., *Solus Industrial Innovations, LLC v. Super. Ct.* (2018) 4 Cal.5th 316, 344*; Montana Medical Assn. v. Knudsen* (9th Cir. 2024) 119 F.4th 618, 623.)

fees (OBM 32), "'even in cases of minor, inadvertent, or inconsequential delay'" (RBM 18, quoting *Hernandez*, *supra*, 102 Cal.App.5th at p. 244). But in that respect, section 1281.98 is "akin to a statute of limitation" or any other type of filing or payment deadline. (*Gallo*, *supra*, 81 Cal.App.5th at p. 641.) Just as limitations periods, notice-of-appeal deadlines, and filing-fee deadlines "stimulate[] [parties] to pursue their claims diligently" by threatening dismissal for noncompliance (e.g., *Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 806), section 1281.98 encourages parties to pay fees and proceed with arbitration in a timely manner by giving nonbreaching parties the option to withdraw from arbitration. (See *Espinoza*, *supra*, 83 Cal.App.5th at p. 783; *De Leon*, *supra*, 85 Cal.App.5th at pp. 756-757.)[17]

In any event, Golden State overstates how "harshly" section 1281.98 operates. (OBM 34.) The statute affords discretion to the contracting parties to choose any "number of days in which [they] must pay any required fees or costs," and to extend the payment deadline as needed. (§ 1281.98, subd. (a)(2).) And rather than requiring immediate payment by that deadline, section 1281.98 "provides . . . a 30-day grace period to make late payments." (*Keeton*, *supra*, 103 Cal.App.5th at p. 39.) To the

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[17] There are many other types of deadlines with consequences analogous to those under section 1281.98. (See, e.g., §§ 411.20, 411.21 [filing-fee deadlines in civil cases]; § 399 [deadlines for transfer order-related fees]; §§ 583.210, 583.250 [deadlines for service of summons and complaint]; §§ 583.310, 583.360 [deadline for bringing action to trial]; § 631 [deadlines for fees associated with jury trial demands]; Cal. Rules of Court, rule 8.104 [deadline for filing notice of appeal].)

extent parties are concerned about inadvertent failures to pay, nothing in the statute prevents them from contracting for additional procedural guardrails, like requiring their arbitration services provider to send multiple payment reminders. Although the statute itself does not excuse any payments made after the 30-day grace period (see, e.g., *Espinoza*, *supra*, 83 Cal.App.5th at pp. 775-778), it provides the nonbreaching party with the option to continue in arbitration rather than proceeding in court (see § 1281.98, subd. (b)(2)-(4)). Given that the statute provides several incentives for employees or consumers to remain in arbitration (see *ante*, pp. 20, 30-31), it is not unrealistic to think that consumers or workers will sometimes exercise that option.

Even if the Court were concerned about the severity of section 1281.98, the proper course would not be to strike down the measure on preemption grounds. (See generally *In re Friend* (2021) 11 Cal.5th 720, 734 [discussing doctrine of constitutional avoidance].) It would instead be to construe the provision to incorporate equitable doctrines designed to "soften the harsh impact" of statutory requirements. (E.g., *Saint Francis Memorial Hospital v. State Dept. of Pub. Health* (2020) 9 Cal.5th 710, 719, internal quotation marks omitted.) For example, in light of the resemblance that section 1281.98 bears to a limitations period (*ante*, pp. 36-37), the Court could consider applying the doctrine of equitable tolling—or adapting it for purposes of section 1281.98. (See generally *Law Fin. Group, LLC v. Key* (2023) 14

Cal.5th 932, 952-953.)[18] Alternatively, the Court could consider allowing parties to bring claims for "excusable neglect" under section 473, subdivision (b) when they miss deadlines under section 1281.98. (But cf. *Colon-Perez v. Sec. Indus. Specialists, Inc.* (2025) __ Cal.App.5th __, __ [2025 WL 322949, at *17] [rejecting claim under section 473 in that posture].)

Golden State also suggests that a state law frustrates the FAA's purposes any time that it renders an arbitration agreement unenforceable. (See, e.g., OBM 44-45, 48; RBM 12-14, 20.) But this Court has repeatedly upheld state laws with that effect. For example, in *Little*, *supra*, 29 Cal.4th at pages 1079-1081, the Court rejected an FAA preemption challenge to a rule conditioning the enforceability of arbitration agreements on an employer's willingness to fund the costs of arbitrating. Noncompliance with that rule can render an arbitration agreement unenforceable. (See, e.g., *Armendariz*, *supra*, 24 Cal.4th at pp. 110-111; *Abramson*, *supra*, 115 Cal.App.4th at p. 661.) Similarly, in *Sonic-Calabasas*, *supra,* 57 Cal.4th at page 1146, the Court upheld a doctrine requiring certain arbitral proceedings to be conducted using procedures "designed to lower the costs and risks for employees in pursuing wage claims." The Court later applied that doctrine to bar enforcement of a noncompliant arbitration agreement. (*OTO, L.L.C. v. Kho* (2019)

[18] See also *Cal-Air Conditioning, Inc. v. Auburn Union Sch. Dist.* (1993) 21 Cal.App.4th 655, 667-670 (discussing doctrine of "substantial compliance," which allows courts to excuse technical or de minimis statutory violations in certain circumstances).

8 Cal.5th 111, 130-137; see *id.* at pp. 137-139 [rejecting preemption challenge to the relevant doctrine].)

The U.S. Supreme Court's precedent in this area is consistent with this Court's. In *Volt*, for example, the high court upheld a CAA provision that allows courts to stay arbitration proceedings pending the resolution of related litigation in court. (489 U.S. at p. 479.) Although much of the Court's analysis focused on the contracting parties' consent to enforcement of that provision (see *id.* at pp. 476-479), the Court also concluded that—even setting aside questions of consent—the challenged provision was consistent with the FAA's purposes (see *id.* at p. 476, fn. 5). The Court reached that conclusion even though "[a]pplying the California procedural rule" meant "that the parties' dispute [would] be litigated rather than arbitrated." (*Id.* at p. 487 (dis. opn. of Brennan, J.).) By "stay[ing] arbitration while litigation of the same issue [moved] forward" in court (*ibid.*), the challenged provision of the CAA effectively ensured that the litigation would have preclusive effect in any future arbitral proceedings. (See generally Wong, *Court or Arbitrator* (2005) 46 Santa Clara L.Rev. 49, 66-71 [discussing the preclusive effect of judicial judgments in subsequent arbitration proceedings].)[19]

The FAA also contemplates that parties will sometimes be required to litigate in court, even if they have signed arbitration agreements. The statute's procedural provisions authorize courts

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[19] It is thus immaterial that the provision addressed in *Volt* did not expressly "allow[] non-enforcement" of an arbitration agreement. (*Belyea v. GreenSky, Inc.*, (N.D. Cal. 2022) 637 F. Supp. 3d 745, 759, fn. 5.) The provision had that practical effect.

to "*stay*" litigation in court pending arbitration, not to dismiss judicial actions in favor of arbitration. (*Smith*, *supra*, 601 U.S. at p. 476, quoting 9 U.S.C. § 3, italics added.) Congress intended to provide parties with a "return ticket" to court in the event that "arbitration breaks down or fails to resolve the dispute." (*Smith*, at p. 477.) Section 1281.98 furthers that intent by spelling out an orderly procedure for parties, arbitrators, and courts to follow in determining whether a "return ticket" can be redeemed. Section 1281.98 also ensures that parties to an arbitration proceeding do not abuse judicial stays, which are intended—much like stays entered by courts pending mediation and other forms of alternative dispute resolution—as "'*temporary* suspension[s]' of legal proceedings." (*Ibid.*, italics added.) Absent section 1281.98, parties could thwart "the supervisory role that the FAA envisions for the courts" and effectively render stays indefinite by failing to timely pay necessary fees. (*Id.* at p. 478.)

Golden State appears to argue that, even if section 1281.98 generally serves the FAA's purposes, the Court should deem it preempted on an as-applied basis here because its application has caused "substantial delay" in resolution of the controversy between the parties. (OBM 49; see also RBM 21.) That argument misunderstands the nature of categorical, bright-line rules. The legislative judgment underlying those rules is that the benefits of clarity and predictability exceed any costs associated with occasional circumstances in which the purposes of the rule would not be served. (See, e.g., *Espinoza*, *supra*, 83 Cal.App.5th at pp. 777-778.) If categorical rules were deemed invalid on an

as-applied basis in those circumstances, the benefits of a clear, administrable bright line would be substantially compromised. (Cf. *Fla. Bar v. Went For It, Inc.* (1995) 515 U.S. 618, 633 [refusing to deem categorical rule constitutionally infirm merely because its purposes would not be served in all applications].)[20]

Finally, Golden State contends that section 1281.98 "interfere[s] with the fundamental aspects of arbitration" (OBM 43) by imposing certain procedures governing the payment of fees (OBM 43-44) and "eliminat[ing] individualized determination[s] of waiver and breach of contract" (OBM 43). But under the FAA, States may impose procedural requirements on arbitration proceedings so long as they do not "undermine the FAA's purpose of encouraging arbitration as an efficient alternative to litigation." (*Sonic-Calabasas*, *supra*, 57 Cal.4th at p. 1143; see, e.g., *id.* at pp. 1158-1171.) Nothing in section 1281.98 comes remotely close to the types of provisions deemed preempted on that basis.[21] Nor does the FAA provide any guarantee of

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[20] Contrary to Golden State's assertions, moreover, the purposes of section 1281.98 *are* served in this case. By allowing Hohenshelt to withdraw from arbitration here, section 1281.98 sends a powerful message to parties in other cases that they should be careful to avoid delays and keep arbitral proceedings moving. (See, e.g., opn. 8 [observing that "[o]ther employers presumably [will] take note" of the result here]; see also Assem. Com. on the Judiciary, Analysis, *supra*, p. 7 [similar].)

[21] See, e.g., *Concepcion*, *supra*, 563 U.S. at pp. 344 (law that effectively required class arbitration); *Sanchez*, *supra*, 61 Cal.4th at p. 924 (similar); *Iskanian v. CLS Transportation L.A., LLC* (2014) 59 Cal.4th 348, 364-366 (similar); *Sonic-Calabasas*, *supra*, 57 Cal.4th at p. 1139 (rule requiring administrative hearing prior to arbitration of wage claims).

"individualized determination[s]" of waiver, breach or other contract-law principles. (OBM 43.) The FAA "is concerned with the forum in which disputes are resolved, not with the substantive law that resolves them." (*Barrera v. Apple Am. Grp. LLC* (2023) 95 Cal.App.5th 63, 82, citing *Viking River*, *supra*, 596 U.S. at p. 653.) Because section 1281.98 facilitates access to that forum so that employees and consumers can pursue the claims that they agreed to arbitrate, the Court should reject Golden State's preemption challenge and uphold the statute.

CONCLUSION

The judgment of the Court of Appeal should be affirmed.

Respectfully submitted,

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February 10, 2025

CERTIFICATE OF COMPLIANCE

I certify that the attached AMICUS CURIAE BRIEF uses a 13 point Century Schoolbook font and contains 8,421 words.

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/s/ Julie Veroff

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February 10, 2025

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No.: **S284498**

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Julie Veroff	*/s/ Julie Veroff*
Declarant	Signature

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Supreme Court of California

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